Beat the S&P 500

A High School Guide to Understanding Investing

Lulu & Martin Curiel | Spring 2026

Meet Your Presenters

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Why Are We Here?

1

Why does investing matter?

2

What do you hope to learn?

3

What have you heard about investing?

Investing Will Be Part of Your Life

Investing decisions will be a part of your life, no matter your career.

Your First Job

Your employer offers a **401(k)** plan, and you'll need to decide where to invest it.

A Friend's Hot Tip

You'll need to discern good investment ideas from mere **hype**.

Real Estate Dreams

Buying property means understanding key terms like **mortgage rate** and **cap rate**.

💡 Investing is an inevitable part of life.

From Life Skill to Career Path

Understanding investing opens doors at every level — from essential life skill to exciting career opportunity.

Career Opportunity

A few of you might pursue this

- Investment Advisor
- Venture Capital
- Equities Analyst
- Financial Planner
- Portfolio Manager

Learning the terminology early prepares you for the inevitable — and might open your eyes to a new career.

Why "Beat the S&P 500"?

Three reasons this class uses this framework:

1

The Gold Standard

The S&P 500 is one of the most common investments in the world. Understanding it is your **foundation**.

2

Incredibly Hard to Beat

Over a **15-year period**, about **90%** of actively managed U.S. large-cap funds underperform the S&P 500. Over **20 years** it's closer to **95%**

3

A Learning Framework

It's a great launching pad to understand stocks, why they go up or down, and how to **measure your decisions**.

Class Process

Short Lesson

Learn new fundamentals before each session.

Group Discussion

Meet, share ideas, and debate investment options.

Make Your Picks

Decide as a group which stocks to invest in.

6 Weeks, 6 Funds per Group

One new fund selected each week. Funds stay open

Beat the S&P 500

The ultimate goal — outperform the benchmark.

Goals & Tracking

How we measure success throughout the class.

🥇 Best Fund of the Week

Top-performing pick each week.

📈 All Funds that Beat SPY

Did your fund outperform the S&P 500?

🏆 Best Fund of the Class

The overall winner across all 6 weeks.

💡 Best Investment Approach

Recognized even if you don't beat the benchmark.

🎯 The goal: Beat the S&P 500 — but great thinking will get recognized too.

The Cashflow Quadrant

From Robert Kiyosaki's Rich Dad, Poor Dad

E · Employee

Trade time for money. You work for someone else's system and receive a paycheck.

B · Business Owner

Create systems that generate income without your direct time (e.g. my Dad).

S · Self-Employed

You own your job but are limited by your own time and energy (e.g. plumber without employees).

I · Investor

Money works for you without your direct involvement.

Fundamentals: Why Invest?

⚠️ The Problem — Inflation

Money sitting still loses value. Inflation averages 2–3% annually — your purchasing power shrinks every year.

💸 $100 today = ~$94 in purchasing power in 2 years.

✅ The Solution — Investing

Investing puts your money to work — growing wealth beyond what you can earn alone.

Common Investment Goals

→ **Beat inflation** — preserve purchasing power

→ **Fund future needs** — retirement, home, education

→ **Build passive income** — earn while you sleep

Fundamentals: What is Rate of Return?

The **Rate of Return (RoR)** is the gain or loss on an investment over a specified period, expressed as a percentage of the initial investment.

> 💰 **Example:** You invest $1,000 in a stock. After one year, the stock is worth $1,100. Your investment grew by $100, resulting in a **10% rate of return** ($100 / $1,000 = 0.10).

This metric is crucial for evaluating investment performance and comparing the effectiveness of different investment opportunities over time.

The Power of Compound Interest

Compound interest means you earn interest on your interest — your money grows on itself.

Example: You invest $1,000 at 10% per year.

- After year 1, you have $1,100.
- In year 2, you earn 10% on $1,100 — not just $1,000 — so you end up with $1,210.
- After year 10, you have approximately $2,594.

The longer you wait, the faster your money grows!

The Rule of 72

A quick mental shortcut to estimate how long it takes your money to double.

The Formula

72 ÷ Rate = Years to Double

Divide 72 by your annual return rate to find out how many years it takes to double your money.

See It in Action

72 ÷ 4% = 18 years

Savings Account

72 ÷ 8% = 9 years

Stock Market Average

72 ÷ 12% = 6 years

High-Growth Investments

Start Early — Time Is Your Greatest Asset

Time in the market beats timing the market. Even small contributions can grow significantly when given enough time to compound.

🌱 EARLY EMMA

Invests $2,000/year from age 14–24

$20K

Total Invested

Only 10 years of contributions, then stopped

$1.2M+

Value at Age 65

51 years of compounding at 8% — starting young is everything!

⏰ LATER LUCAS

Invests $2,000/year from age 25–65

$80K

Total Invested

40 years of contributions — 4x more money in

$560K

Value at Age 65

Less than Emma — despite investing 4x more!

⚡ **You are at the most powerful starting point possible.** Every year you wait costs you more than you think.

How Companies Get Funded

When a company needs money to grow, it has two options: borrow it or sell a piece of it.

💳 Debt — Borrow Money

The company takes a loan and promises to pay it back with interest.

Example: Your lemonade stand borrows $20 from mom to buy supplies. You owe her $22 back next month.

🤝 Equity — Sell a Piece

The company sells ownership (shares) to investors in exchange for cash — no payback required.

Example: Your friend gives you $20 for 50% of your lemonade stand. Now you both own it — and split the profits.

💡 When big companies sell ownership to the public for the first time, it's called an IPO (Initial Public Offering). That's how stocks are born!

What Is a Stock vs. a Share?

Stock

A stock is your ownership in a company — it represents your overall investment in that business.

Share

A share is one single unit of that stock — it's the individual piece you actually buy.

Example: Apple has millions of units of ownership available. That ownership is called Apple stock. When you buy 10 of those units, you own 10 shares of Apple stock.

Key Investing Terms to Know

Understanding these basic terms will help you navigate the world of investing with confidence.

Share

A single unit of ownership in a company.

Ticker Symbol

A short unique code used to identify a stock (e.g., AAPL = Apple, TSLA = Tesla). It's like a username for a company

Stock Price

The current price at which one share of a company can be bought or sold on the market — determined by supply and demand.

Market Cap

The total value of a company's shares, calculated by multiplying Price × Total Shares.

Bull Market

A period when stock prices are rising, reflecting overall market optimism.

Bear Market

A period when stock prices are falling, reflecting overall market pessimism.

Portfolio

The entire collection of financial investments owned by an individual or institution.

How Do You Make Money from Stocks?

📈 Capital Gains

This is the most common way to profit. If you buy a stock at $10 and its market price increases to $15, you've made a $5 capital gain per share when you decide to sell. It's simply buying low and selling high!

💰 Dividends

Some established, profitable companies choose to share a portion of their earnings with shareholders. These payments, called dividends, are usually distributed quarterly. It's like getting a regular bonus just for owning a piece of the company!

⚠️ Stocks can also go DOWN — you can lose money too. That's why understanding what you own and why it matters!

What Makes a Stock Price Go Up or Down?

Stock prices move based on one simple idea: supply and demand — how many people want to buy vs. sell.

📈 Price Goes UP

More people want to BUY than sell. This happens when a company is doing well, growing fast, or people are excited about its future.

📉 Price Goes DOWN

More people want to SELL than buy. This happens when a company is struggling, missing expectations, or people are worried about the future.

Think of it like sneakers. When everyone wants the new Jordans and there aren't many available, the price goes up. When nobody wants last year's model, the price drops.

What Is a Stock Index?

A stock index is a way to track the performance of a group of stocks as one single number. Instead of checking hundreds of individual stocks, an index gives you one easy-to-read score for the overall market — like a scoreboard for investing.

S&P 500

Tracks the 500 largest U.S. companies. The most widely followed index in the world.

Dow Jones (DJIA)

Tracks 30 major U.S. companies like Apple, Nike, and McDonald's.

NASDAQ

Tracks over 3,000 stocks, heavily focused on tech companies like Google, Amazon, and Meta.

5 Stocks That Define the S&P 500

These companies hold the most weight in the S&P 500, meaning their performance significantly impacts the index's overall movement. Understanding them is key to understanding the broader market.

Apple (AAPL) — ~7%

The tech giant behind the iPhone, Mac, and AirPods. Apple is one of the most valuable companies in history, continuously innovating in consumer electronics and services.

Microsoft (MSFT) — ~7%

From Windows to Xbox and the powerful Azure cloud computing platform, Microsoft's software and services are integral to businesses and daily life worldwide.

NVIDIA (NVDA) — ~6%

A leader in graphics processing units (GPUs), NVIDIA's chips are essential for gaming, professional visualization, and power the rapidly growing field of Artificial Intelligence (AI).

Amazon (AMZN) — ~4%

Known for its massive e-commerce platform that delivers goods to millions, Amazon also dominates cloud computing through Amazon Web Services (AWS), which hosts much of the internet.

Alphabet / Google (GOOGL) — ~4%

The parent company of Google, controlling search, YouTube, Android, and Google Maps. Alphabet's reach spans advertising, mobile technology, and cutting-edge research.

💡 These 5 companies alone make up ~28% of the entire S&P 500 — when they move, the whole index moves.

Overview of App will be using:

www.beat-snp.com

Getting Started — Your Next Steps

1. Discuss the S&P 500 Stocks
2. Use your own knowledge/experience + Claude, OpenAI, others to research stocks
3. Decide on up to **5** stocks from the list of stocks in the S&P 500 (Proxy: SPY)
4. Buy your shares on the beat-snp.com
5. Share 1 stock with the class

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